

# Silicon Over Software

*June CPI fell 0.4% and reset the rate path. IBM's capex confession redirected the tape — chips, memory and cybersecurity bid, enterprise software sold. Dividend Strategy –1.02% on a medtech reset; Growth Portfolio +0.80%.*

## THE SESSION

The inflation print bought the market a reprieve. A letter from IBM decided where the money went. June CPI fell 0.4% on the month — the largest single-month decline since April 2020 — pulling the annual rate to 3.5% from 4.2% in May. Core was unchanged on the month and 2.6% year-over-year, two-tenths below consensus on both lines. The energy index fell 5.7%, gasoline 9.7%. Odds of a July rate increase, which had been building all week, collapsed: FedWatch moved to roughly 86% for a hold, the two-year yield fell to 4.20%, and the dollar softened.

Chair Warsh took the House Financial Services Committee ninety minutes later and declined to bank it. The committee has “no tolerance for persistently elevated inflation,” he said, and offered no guidance on the next move. He was explicit that one cool print is not mission accomplished. He is right to be careful — June's number describes an oil market that has since reversed. Brent traded above \$87 intraday before settling near \$85.

The S&P closed at 7,544.29, up 0.39%. The Nasdaq added 0.90%. The Dow finished flat, held back by a single name. Volatility eased to 16.50.

That single name is the session's real story. IBM pre-released partial second-quarter results and told shareholders it had faltered: revenue of \$17.2 billion against \$17.86 billion expected, with management explaining that in the final weeks of June, clients redirected capital budgets toward servers, storage and memory to lock in supply ahead of price increases. Software deals slipped. Cybersecurity spending took priority. The stock fell roughly 25%.

What followed was not a selloff. It was a reallocation, executed in public. Every category IBM named as the destination of those

dollars finished the day higher. Wafer equipment, memory, accelerators and network security were bid. Enterprise software was sold. The tape did not disagree with IBM's diagnosis — it confirmed it, line by line.

The banks reported into that backdrop and were nearly an afterthought. JPMorgan, Goldman, Bank of America, Citigroup and Wells Fargo cleared roughly \$49 billion in combined quarterly profit, up about 39% from a year ago, on record equity trading and the fee bonanza from the SpaceX listing. Consumer credit held up. Dimon flagged geopolitics and valuations while posting the best quarter in the firm's history.

Washington also blinked. The 20% Hormuz cargo toll announced Monday was withdrawn Tuesday in favor of unspecified Gulf investment commitments, after the shipping industry and the IMO objected. The blockade of Iranian ports proceeds. Crude stayed firm anyway, which is the honest read: the fee was never the supply constraint.

***FCI Tactical: When a company tells you its customers are diverting budget away from its product and toward physical infrastructure, that is not a warning — it is a demand disclosure. We own the infrastructure. Wafer equipment, accelerators, power generation, and the copper and steel underneath all of it. The S&P sits far above any deployment tranche; no tactical action is indicated. We simply keep owning the cash flows the capex is walking toward.***

## FCI HOLDINGS: NOTABLE MOVERS

### WINNERS

**ETHA +6.06%** DIGITAL ASSET ETF

Ether led the post-CPI bid, clearing \$1,870 as roughly \$56 million of short positions were liquidated within the hour of the print. Closed \$14.18.

**LRCX +4.90%** DIVIDEND STRATEGY

IBM's disclosure that clients pulled forward memory and storage purchases ahead of price increases is a direct order signal for wafer fabrication equipment. Closed \$346.10, recovering Monday's decline in full.

**NVDA +4.06%** GROWTH PORTFOLIO

H200 shipments to China have begun following U.S. approval, a Commerce official told Congress. Volumes remain limited and tightly controlled, but the channel is open. Closed \$211.80.

**FTNT +3.87%** GROWTH PORTFOLIO

IBM named cybersecurity as a budget priority pulling spend away from other software. The entire security complex was bid. Closed \$166.83.

**IBIT +3.86%**

DIGITAL ASSET ETF

Bitcoin reached roughly \$64,800 on the cooler print before easing. Closed \$36.58.

**FCX +3.30%**

GROWTH PORTFOLIO

Softer dollar and a lower rate path lifted the copper complex. Closed \$61.95.

**HOOD +3.27%**

GROWTH PORTFOLIO

Risk-on retail tape plus a strong capital-markets read from the bank prints. Closed \$113.45.

**TOL +2.96%**

GROWTH PORTFOLIO

Ten-year yield fell to 4.58% and the two-year to 4.20%. Homebuilders responded directly. Closed \$152.53.

**AMD +2.57%**

GROWTH PORTFOLIO

Analyst work pointing to further upside ahead of the Zen 6 launch, plus the server-boom read from the IBM letter. Closed \$548.13.

**MRVL +2.26%**

GROWTH PORTFOLIO

Recovered part of Monday's optical give-back on the infrastructure rotation. Closed \$222.44.

**NXPI +1.97%**

GROWTH PORTFOLIO

Broad semiconductor bid. Closed \$283.87.

**ADI +1.75%**

DIVIDEND STRATEGY

Analog names participated in the hardware rotation. Closed \$392.75.

**DECLINERS**
**SYK -6.15%**

DIVIDEND STRATEGY

HCA Healthcare's preliminary results flagged softer surgical procedure volumes, and the entire medical-device group repriced on it. Closed \$311.07.

**NOW -5.76%**

GROWTH PORTFOLIO

The direct read-through from IBM. Enterprise software budgets are being redirected to hardware. Closed \$104.85 after Monday's advance on an AI target raise.

**ABT -3.42%**

DIVIDEND STRATEGY

Caught in the same medtech reset. Closed \$88.96.

**QCOM -3.20%**

DIVIDEND STRATEGY

A BofA note framed the server buildout as flowing to AMD while handset-levered names see near-term pressure. Closed \$178.10.

**FAST -2.78%**

DIVIDEND STRATEGY

Second-quarter EPS met consensus; gross margin compressed. See Holdings News. Closed \$45.74.

**CL -2.34%**

DIVIDEND STRATEGY

Consumer staples were funded to pay for the risk-on rotation. Closed \$91.03.

**HRMY -2.05%**

GROWTH PORTFOLIO

Small-cap biopharma gave back ground with no company-specific catalyst. Closed \$34.81.

**SSNC -1.87%**

DIVIDEND STRATEGY

Financial-services software sold with the broader software complex. Closed \$66.79.

**ADP -1.84%**

DIVIDEND STRATEGY

Payroll processing carries a software multiple. Closed \$246.44.

**HOLDINGS NEWS**

Fastenal reported second-quarter results before the bell. Earnings of \$0.33 per share met consensus; revenue of \$2.39 billion beat the \$2.34 billion estimate. Daily sales grew 14.7%, up from 12.4% in the first quarter, with June alone running above 20%. Contract customer daily sales rose 17.6% and now represent 75.8% of revenue. Trailing return on invested capital reached 31.4%, a decade-plus high. Gross margin fell 75 basis points to 44.6% on an unfavorable price-cost gap, freight inflation and customer mix; SG&A discipline offset it entirely, leaving operating margin at 21%. The quarterly dividend was raised to \$0.26 from \$0.24. Management said growth is coming from share gains rather than a stronger industrial economy. The market took the margin line and sold the stock; the business is compounding.

Stryker and Abbott repriced on someone else's disclosure. HCA Healthcare's preliminary quarterly results showed softer elective surgical volumes, concentrated in orthopedic and spine procedures among patients under 65. The read-across hit the entire device group. Neither company reported anything. Stryker reports later this month.

Nvidia's China channel opened. A Commerce Department official told Congress that H200 shipments to approved Chinese buyers have begun, following clearances granted earlier this year. Volumes are limited and the process remains tightly controlled, but the structural blockade thesis is no longer intact.

**PORTFOLIO PERFORMANCE**

DIVIDEND STRATEGY

X TRAIL

**-1.02%**

vs. DVY -0.63% | SPY +0.39%

GROWTH PORTFOLIO

X TRAIL

**+0.80%**

vs. IUSG +1.10%

**YEAR-TO-DATE**

Dividend +16.27% vs DVY +14.76% / SPY +10.87%

Growth +18.24% vs IUSG +12.43%

The Dividend sleeve trailed on the medtech reset and the software drag — Stryker, Abbott, ServiceNow-adjacent names and Fastenal accounted for the bulk of it. The Growth Portfolio captured the hardware rotation but trailed IUSG, which carries heavier weight in the mega-cap names that led. Year-to-date, both sleeves remain well ahead of their benchmarks: Dividend by 151 basis points over DVY and 540 over SPY; Growth by 581 basis points over IUSG.